

MATRIX										
Primary / 2nd Home / Investment	Primary / 2nd Home / Investment									
	Min FICO	Max. Loan Amount		Units	Max LTV / CLTV / HCLTV					
					Purchase / R & T			Cash-Out		
		O/O	2nd Home		N/O/O	O/O	2nd Home	N/O/O		
	740	<= \$ 1.0 mil.		1 - 4	80	80	80	80	75	75
		<= \$ 1.5 mil.			80	80	80	75	75	75
		<= \$ 2.0 mil.			80	80	80	75	70	70
		<= \$ 2.5 mil.			80	75	75	70	65	65
		<= \$ 3.0 mil.			75	70	70	65	60	60
		<= \$ 3.5 mil.			65	60	n/a	n/a		
	720	<= \$ 1.5 mil.		1 - 4	80	80	80	75	75	75
		<= \$ 2.0 mil.			80	80	80	70	70	70
		<= \$ 2.5 mil.			80	75	75	70	65	65
<= \$ 3.0 mil.		75	70		70	65	60	60		
<= \$ 3.5 mil.		60	60		n/a	n/a				
700	<= \$ 1.0 mil.		1 - 4	80	80	80	75	75	75	
	<= \$ 1.5 mil.			80	80	80	75	70	70	
	<= \$ 2.0 mil.			80	80	80	70	70	70	
	<= \$ 2.5 mil.			75	75	75	65	65	65	
	<= \$ 3.0 mil.			70	70	70	60	60	60	
680	<= \$ 1.5 mil.		1 - 4	80	80	80	70	70	70	
	<= \$ 2.0 mil.			75	75	75	65	65	65	
	<= \$ 2.5 mil.			70	70	70	60	n/a		
660	<= \$ 1.0 mil.		1 - 4	80	80	80	70	70	70	
	<= \$ 1.5 mil.			75	75	75	70	70	70	
	<= \$ 2.0 mil.			75	70	70	60	60	60	
	<= \$ 2.5 mil.			70	65	65	n/a			
* Declining Markets : 5% LTV Reduction										
Income Qualifications										
Bank Statements		12 months Business or Personal Bank Statements								
P & L		12 mon. P & L by CPA/EA/CTEC (no PTIN)								
WVOE		FNMA Form 1005								
General Requirements										
Product Type		5/6 ARM, 7/6 ARM, 30 yr Fixed								
Loan Amount		Min. Loan Amt.		\$150,000		Max. Loan Amt.		\$3,500,000		
Occupancy		Primary Residence, 2nd Home, Investment Property								
		Primary Residence		1 - 2 units only		2nd Home		1 unit only		
Max DTI		50%	50.1-55% :Requires Min. FICO 700, O/O, and no FTHB. Min. 1.5 times Residual Income							
Payment History		0x30x12, 0x60x24								
Housing Event		48 months								
Borrower Eligibility		First Time Buyer			Allowed					
		Non-Occupant Co-Borrower			1 unit, OO only, Max 43% DTI, No cash-out					
		Permanent Resident Alien			Eligible, No restrictions					
		Non Permanent Resident Alien			No Cash-out					
ARM Information		Margin	4.00%	Reset Period		6 months		Index	30 days Average SOFR	
		Caps	3/6, 5/6 ARM		2/1/5	7/6, 10/6 ARM		5/1/5	Flood Margin	

General Requirements			
Max Cash-back to borrower	LTV >60%		\$ 750k
	LTV <= 60%		Unlimited
Reserves	Primary	<= \$ 1,000,000 and LTV <= 75%	No reserves
		> \$ 1,000,000 or LTV > 75%	2 mon. P & I
	Investment	<= \$ 1,000,000	4 mon. P & I
		> \$ 1,000,000	6 mon. P & I
	Additional Financed Properties		No reserves per financed property other than subject
	Cash-Out Used as Reserves		Allowed
Property Types	- SFR (attached & detached), PUD (attached & detached) - 2 - 4 unit Condo Project: Will not require a project review provided that the project is not a condo hotel, houseboat, or timeshare or segmented-ownership project - 2 to 4 units - Not Eligible: Properties for which the appraisal indicates condition ratings of C5 or C6, or a quality rating of Q6 - The property should not exceed 20 acres - The amount of acreage must be typical for the area and supported with comparable of similar lot size and not meeting the rural definition - Minimum Square Footage - SFR: 700 sq. ft. - Condo: 500 sq. ft. - 2 to 4 units: 400 sq. ft. per individual unit		
Eligible Borrowers	- US Citizens - Permanent Aliens: Only a valid Green Card with a min. of 90 days remaining at the time of funding is required to be documented - Non-Permanent Resident Aliens - An individual admitted to the United States as a lawful temporary resident. Lawful non-permanent residents are legally accorded the privilege of residing temporarily in the United States. - Visa types allowed: E-1, E-2, E-3 EB-5, G-1 through G-5, H-1B, L- 1, NATO, O-1, R-1, TN NAFTA - Visa must be current. If the visa will expire within three (3) months following the close date, additional documentation is required: evidence that the proper extension steps have been followed per the US Citizenship and Immigration Services (USCIS) website, along with proof of payment receipt and proof that the extension was done in the timeframe required by USCIS. - If borrower has EAD card, only a valid EAD card with minimum 90 days remaining at time of funding is required to be documented. EAD card with 30-89 days remaining requires evidence of application for extension. EAD card with less than 30 days remaining without renewed status is not eligible. - When the current VISA/EAD/GREEN CARD is valid and has remaining expiration dates indicated above, it does not require documentation for prior status even if the current VISA/EAD/GREEN CARD valid from date does not cover the employment start date.		

General Requirements	
Eligible Borrowers	- First-Time Homebuyer: Rental history must be evidenced by canceled checks OR a Verification of Rent (VOR from either management company or private) for the past 12 months. - Maximum payment shock of 250%. - First-Time Homebuyers who do not have the required housing payment history are still eligible to qualify for a purchase transaction of a primary residence, 2nd home & investment property as long as they are living rent-free with a Relative and provide a Rent-Free Letter executed by such Relative confirming that there is/was no monthly obligation. - Non-Occupant Co-Borrowers is allowed for Purchase and Rate & Term Refinance.
Non-Arm's Length Transactions	- Non-arm's length transactions are NOT allowed on all occupancy for existing property types. - For-Sale-By-Owner (FSBO) transactions are not allowed EXCEPT the Gift of Equity transactions between family members. - When the property seller is a corporation, partnership, or any other business entity, it must be ensured that the borrower is not the owner of the business entity selling the property. - A Gift of Equity transaction is not intended to bail out a family member who has had difficulties making their mortgage payment. A thorough review of the title report in these cases is required, as well as the payment history pattern (verification of the Seller's mortgage [VOM]). - Employer-to-employee sales or transfers are not allowed. - Commission earned by buyer/borrower cannot be used for down payment or monthly P & I reserves.
Age of Credit Documentation	- Credit documents (credit report, employment, and income) cannot be older than 120 days from the note date. - Asset documents used for reserves/funds to close must be dated within 120 days of the note date.) - Preliminary Title report / Title Commitment is good for 120 days. - The effective date of the appraisal report must be dated within 365 days of the note date. If the effective date of the appraisal report is more than 120 days from the note date, the appraiser must acknowledge that the value of the subject property has not declined since the effective date of the original appraisal. The update/recertification must be completed on FNMA Form 1004D/FHLMC Form 442 and must be dated within 120 days prior to the note date.
Fraud Report	All parties to the transaction must be included in the fraud report performed by an automated fraud and data check vendor solution.
Min. Credit Score	- All borrowers must have a minimum of (2) FICO scores on a tri-merged credit report and sufficient credit experience. If the primary borrower has 3 credit scores, the minimum tradeline requirement is waived. - Use the credit score of the borrower with the highest qualified income.
Credit Refresh Gap Credit Report	- Soft pull credit report or Gap credit report (Refresh credit report) is required no more than 30 days prior to loan closing or any time after closing. Any new debt must be included in determining the DTI ratio. - The full credit report pulled 30 days prior to loan closing can be considered as the gap credit report required.

General Requirements		
Mortgage History	- 0 X 30 in last 12 months & 0 X 60 in last 24 months - VOR: 12-months rental history is required if borrower is renting current primary residence - If a complete 12-month mortgage history is not reported on the credit report, then we must use one of the following to complete the borrower's payment history: - Credit supplement, or - VOM completed by the creditor/servicer, or - Loan payment history from the creditor/servicer, or - Proof of payment (e.g., cancelled check, ACH payment, bank transfer, etc.) - Rent Free: A Rent-Free Letter executed by such Relative confirming that there is/was no monthly obligation.	
Tradeline Requirement	- 3 Tradelines with 12 months rating (may be open or closed) OR 2 Tradelines with 24 months rating (may be open or closed) OR if the primary borrower has 3 credit scores, the minimum tradeline requirement is waived. - Non-traditional credit: Ineligible	
Authorized User Account	- Credit report tradeline that lists a borrower as an authorized user cannot be considered in the minimum tradelines requirement. BUT if the primary borrower has 3 credit scores, the minimum tradeline requirement is waived. - Authorized user accounts can be excluded from the DTI ratio.	
Credit Inquiries	- The report must list all credit inquiries made in the previous 90 days. LOE required to address all credit inquiries. - If new credit was extended, borrowers must provide documentation on the current balance and payment. New payment terms are to be included in the DTI ratio.	
Disputed Accounts	- Disputed accounts are reviewed to determine current balance and derogatory information (a 30-day or more delinquency) within 1 year prior to the credit report date: - \$0 balance and no derogatory information: no action required - \$0 balance and derogatory information: no action required - A positive balance and no derogatory information: no action required - A positive balance and derogatory information: remove and provide a credit supplement	
Installment Debt	Must meet FNMA guideline	
Lease Payments	Must meet FNMA guideline	
Student Loans	Must meet FNMA guideline	
Deferred Installment Debt	Must meet FNMA guideline	
Revolving Debt	Must meet FNMA guideline	
Business Debt	Must meet FNMA guideline	
Credit Event	Bankruptcy	48 months
	Foreclosure	48 months
	Short Sale, Deed-In-Lieu	48 months
	Loan Modification	Eligible when the loan modification has been seasoned for at least 48 months. All payments must have been made on time throughout the duration of the modification.
	Charge offs, Collections, Judgments, Tax Liens	Must meet FNMA guideline
Qualifying Rate	Greater of Fully Indexed Rate or Note Rate. This also applied to Interest-Only loans.	

General Requirements	
Qualifying Ratio	50% * >50 to 55% (Min FICO 700, 80% LTV, O/O, & No FTHB) Requires 1.5x Minimum Residual Income <u>Required Minimum Residual Income</u> - One Household: \$1,500 - Two Household: \$2,500 - More than Two: Add \$150 for each additional household member
Employment History	Min. 2 years
Salaried Borrowers / WVOE	- Written VOE (FNMA Form 1005) completed by the employer. - Borrower cannot be employed by relatives including all types of compensation (hourly, overtime, bonus, commission, tips, part-time, secondary employment)
OFAC Check	- OFAC SDN screening criteria to be added for Borrowers/Guarantors, Property seller, Settlement agents only. - Criteria applies to all programs.
Self-employed Borrower	- CPA / EA / CTEC / TAX ATTORNEY Prepared Doc Type - Self-employed business license or CPA/EA/CTEC/TAX ATTORNEY (PTIN is not allowed) letter verifying borrower's ownership of business for last two years AND - The most recent 12-month or 24-month Profit & Loss Statement completed by CPA/EA/CTEC/TAX ATTORNEY. PTIN is not allowed. - The CPA / EA / CTEC / TAX ATTORNEY preparing The P&L must have filed the Borrower's most recent business tax returns. - Permitted for self-employed borrowers with a minimum of 25% ownership of the business. - Personal Bank Statements Type - 24 or 12 months personal and 2 months of business bank statements, the most recent statement dated within 120 days of the note date. - Permitted for self-employed borrowers with a minimum of 20% ownership of the business - CPA/EA/CTEC/TAX ATTORNEY (PTIN is not allowed) letter verifying borrower's percentage ownership of business, or operating agreement, or equivalent. - Qualifying income is determined by The total eligible deposits from the 24 or 12 months of personal statements divided by the number of statements. - The business bank statements must reflect business activity and transfers to the personal account - Only transfer or deposit from the business accounts are eligible deposits. - CPA Letter, or Business License, or Bank statement from 24 or more months prior to note date reflecting activity, or Other reasonable evidence of business activity. - Deposits from alternative payment processing applications (i.e., Square, Venmo) are NOT eligible - Business Bank Statements Type - 24 or 12-months business bank statements, the most recent statement dated within 120 days of the note date. - All business bank statements from other bank accounts less than 12 months old are eligible if they are from the same business name, 12-month bank statements are provided from one of the accounts, and the borrower has owned the business for more than 2 years. – Two (2) months of business bank statements must be provided to validate Borrower utilizes separate banking accounts - Permitted for self-employed borrowers with a minimum of 20% ownership of the business - CPA/EA/CTEC/TAX ATTORNEY (PTIN is not allowed) letter verifying borrower's percentage ownership of business, or operating agreement, or equivalent.

General Requirements	
Self-employed Borrower	- Deposits from alternative payment processing applications (i.e., Square, Venmo) are eligible
Co-mingled Bank Statements	- 24 or 12-months business bank statements, the most recent statement dated within 120 days of the note date. - A co-mingled 12- or 24 mos bank statement is a personal account used by a borrower for both business and personal use. A separate business account is not required. - Verify that the borrower has 100% ownership of the business by providing one of the following: - CPA letter, Tax Preparer letter, operating agreement, or equivalent; reflecting the borrower's ownership percentage. - The borrower must be The sole owner of The business listed on the URLA or loan application. - The borrower and spouse, who have combined 100% ownership of the account, are eligible. ** Qualifying income is determined by one of the following analysis methods for Business Bank Statements Type & Co-mingled Bank Statements - Fixed expense ratio of 50% - Expense ratio provided by a 3rd party (CPA / EA / CTEC / TAX ATTORNEY but not PTIN) min ratio of 10% - 3rd party prepared Profit & Loss Statement (CPA / EA / CTEC / TAX ATTORNEY but not PTIN) - IRS Form 1099 Type - 2 Years or 1 Year 1099 - Fixed expense ratio of 10% - YTD Documentation to support continued receipt of income from same source. - Asset Utilization Type - Eligible assets divided by 84 to determine a monthly income stream.
Eligible Other Incomes	- Alimony or Child Support - A copy of the final court approved Divorce Decree (separation agreement or other written agreement/court decree) containing the amount and duration. The income must continue for a minimum of 3 years (check for limitations on duration such as the ages of children) - Evidence of regular receipt for the last 6 months (inconsistent or sporadic payments may not be included as income) - Calculation: Utilize The current payment amount - Auto Allowances - Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. - Calculation: 2-year average of the income. - Bonus or Overtime - Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from the date the note is signed. - Borrowers must have two years' consistent employment with The same employer or in the same industry. - Calculation: 2-year average of the income.

General Requirements	
Eligible Other Incomes	- Commission - If the commission income represents less than 25% of the borrower's total annual employment income, obtain the following documents: - Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. - Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from date note is signed. - Borrowers must have two Years of consistent employment with The same employer or in the same industry. - Calculation: 2-year average of the income. - Disability - If amount and duration are not disclosed in the awards letter, a copy of the disability policy may be required. - If the benefits have a defined expiration date (not long-term disability), verify that the remaining term is at least 3 years from the date of the mortgage application. - Calculation: If higher short-term disability payment will fall to lower long-term payment during the next 3 years, use the lower long-term payment for qualifying purposes. Otherwise use the current payment. If disability income will not continue for 3 years, it cannot be included in income. - Housing or Parsonage Allowance - Written Verification of Employment, letter from employer, or paystubs reflecting the amount of the housing or parsonage allowance. - Terms under which the housing or parsonage allowance is paid. - Proof of receipt of housing allowance for the most recent 12 months. - The housing allowance may not be used to offset the monthly housing payment. - Part-Time - Minimum 24-month total history (multiple employers). - Written VOE (Form 1005) completed in full by employer verifying most recent two years. - Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from date note is signed. - Rental - Rental Property other than Subject Property - Fully executed lease agreement/month to month rent agreement AND Calculation: 75% of gross rent less PITI and HOA dues - Full net rental income can be used towards the qualifying income regardless of whether any other borrowers are listed in the title or not - Subject Property is Rental Property - Purchase: Use 75% of market rent from an appraisal - Refinance: Use the lessor of 75% of rent from a fully executed lease agreement/month to month rent agreement or an appraisal including market rent analysis - Calculation: 75% of gross rent less PITI and HOA dues - Full net rental income can be used towards the qualifying income regardless of whether any other borrowers are listed in the title or not

General Requirements	
Eligible Other Incomes	- Retirement, Government Annuity and Pension - Copies of retirement award letters or current statements AND - Copies of borrower's 2 most recent bank statements showing deposits - Calculation: Use The current amount - Secondary Employment (Second Job) - Minimum 24-month total history (multiple employers) - Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. - Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from date note is signed. - Borrowers must have two Years of consistent employment with The same employer or in the same industry. - Calculation: Develop a 2-year average of the income. - Social Security - Copy of the award letter or Social Security Benefit Statement AND - Most recent bank statement reflecting Proof of current receipt. - Calculation: Use current amount from Documentation - Tips - Minimum 24-month total history (multiple employers). - Written VOE (Form 1005) completed in full by the employer verifying most recent two-year income history. - Income, employment, and assets are stated and verified. Documentation may not be more than 120 days from date note is signed. - Borrowers must have two Years of consistent employment with The same employer or in the same industry. - Calculation: Develop a 2-year average of the income.
4506-C	Not Required
Verbal VOE	- Salaried Borrower: 10 days prior to disbursement date - The phone number that the borrower provided as their employer's number must be independently confirmed by using the telephone book, directory assistance, Superpages.com, Yellowbook.com. - Self Employed Borrower: 30 days prior to disbursement date - Verification of The existence of The borrower's business from A third party, such as a CPA/EA/CTEC/TAX ATTORNEY, regulatory agency, or the applicable licensing bureau. - OR Obtaining a phone listing and address for the borrower's business using telephone book, the internet, or directory assistance
Asset	- Most recent one (1) month bank statement or VOD required; source of large deposit and cash deposit are not required to be documented. - VOD should be dated within 120 days of loan application date.
Business Asset	- May be used for down payment, closing costs, and reserves if the borrower is either (i) 100% owner of the business or (ii) at least a 50% owner of the business provided that there is a letter of explanation in the file which includes an attestation from all other owners of the business that the borrower is entitled to the funds. - If amounts in the business account are used for down payment, a cash flow analysis or a letter from the business accountant is required to confirm that the withdrawal will not negatively impact the business.

General Requirements	
Business Asset	- If amounts in the business account are used for reserves and borrower is less than 100% owner of the business, the percentage of ownership in the business should be multiplied by the account balance to determine the amount of funds attributable to the borrower. - Source of large deposit is not required to be documented.
Crypto Currency	- Bitcoin or other forms of cryptocurrency are eligible sources of funds for the down payment, closing costs and reserves. Crypto is not an eligible liquid asset utilization/depletion - Down payment, closing costs & reserves: Crypto currency must be liquidated and deposited into an established US bank account
Min. Borrower Contribution	None
Gift Funds & Gift of Equity	- 100% gift funds allowed for Primary, 2nd Home & Investment Property - Must meet FNMA guidelines for acceptable donors. - If donor provides gift funds from business account, must follow above Business Assets requirements. - Gift of Equity requires a gift letter, and the equity gift credit is to be shown on the CD. Must provide a 12-month mortgage history on the existing mortgage securing the subject property, confirming the Family Sale is not a foreclosure bailout. - Gift of equity allowed for primary residence only. - No 2nd home & Investment property.
Eligible Other Assets	- Foreign Assets - Foreign assets being used for down payment and closing costs must be held in a U.S. account prior to closing. - The sale of the foreign assets and conversion of foreign currency must be fully documented and verified. - The borrower's source of funds for the down payment and/or closing costs must comply with the Office of Foreign Assets Control (OFAC). - Life Insurance (Cash Value) - Net proceeds from a cash value or from the surrender of a life insurance policy may be considered for downpayment, closing cost and reserves. - The most recent statements must be provided. - If the funds are needed for the down payment or closing cost, proof of liquidation and receipt of the funds by the borrower must be documented. - When the cash value of the life insurance is being used for reserves, the cash value must be documented but liquidation is not required. - Stocks/Bond/Mutual Funds: - 100% funds may be considered for downpayment, closing cost and reserves. - If the value of the asset is at least 20% more than the amount of funds needed for the down payment and closing costs, no documentation of the borrower's actual receipt of funds realized from the sale or liquidation is required. Otherwise, Evidence of the borrower's actual receipt of funds realized from the sale or liquidation must be documented. - When Stocks/Bond/Mutual Funds are used for reserves, 100% of the value of the assets may be considered, and liquidation is not required.

General Requirements	
Eligible Other Assets	- Vested Retirement Account - 100% funds may be considered for down payment, closing cost and reserves. - The most recent retirement account statement must be provided and must identify the borrower's vested amount and the terms. - Terms of withdrawal may be required. - When funds from retirement accounts are used for reserves, The funds to be withdrawn from the account(s) is not required.
Reserves	- Primary & 2nd Home: - $\leq \\$1,000,000$ & LTV $\leq 75\%$: No reserves - $> \\$1,000,000$ or LTV $> 75\%$: 2 months Principal & Interest payment - Investment: - $\leq \\$1,000,000$: 4 months Principal & Interest payment - $> \\$1,000,000 \leq \\$3,500,000$: 6 months Principal & Interest payment - Reserves are required for subject property only. - No additional reserves for each financed property (other than subject) - Gift funds can be used for reserve requirement for all transaction. - Cash Out Net Proceed can be used for reserve requirement. - Reserve requirements are waived for Rate & Term Refinance transactions when the transaction results in a reduction to the monthly P&I payment of 10% or greater AND housing history is 1x30x12 or better. For Interest Only loan, the reduction is based on the amortizing payment used for loan qualification.
Max. Seller Contribution	- Primary & 2nd Home: 6 % for LTV $> 75\%$ & 9% for LTV $\leq 75\%$ - Investment: 3% - Interested party contributions may only be used for closing costs and prepaid expenses and MAY NEVER be applied to any portion of the down payment or contributed to the borrower's financial reserve requirements.
Selling Agent Commission	- Selling Agent = Buyer's Real Estate Agent - Commission paid by the buyer: Considered a closing cost.
Borrower Acting as their Own Agent	May contribute funds (i.e., commission) up to the maximum contribution limits referenced above.
Rate & Term Refinance	- If the subject property was listed For Sale within the 6 months prior to the application date, the documentation must include a signed statement from the borrowers indicating their intent to retain the property - Pay off an existing first mortgage loan and any subordinate loan used to acquire the property. - Pay off any subordinate loan not used in the acquisition of the subject property, provided one of the following apply: - Closed-end loan, at least 12 months of seasoning has occurred. - HELOC, at least 12 months of seasoning has occurred, and total draws over the past 12 months are less than \$2,000. - Buy out a co-owner pursuant to an agreement. - Pay off an installment land contract executed more than 12 months from the loan application date.

General Requirements	
Rate & Term Refinance	- Other Considerations: - Cash back in an amount not to exceed the lesser of 2% of the new loan amount or \$5,000 can be included in the transaction. - If the subject property was acquired more than six months from application date, the appraised value will be used to determine LTV/CLTV. If the property was acquired less than or equal to six months from the application date, the lesser of the current appraisal value or previous purchase price plus documented improvements (if any) will be used to determine LTV/CLTV. The purchase settlement statement and any invoices for materials/labor will be required. - Refinance of a previous loan that provided cash out, as measured from the previous note date to the new note date, and is seasoned less than 12 months, will be considered a cash out refinance
Cash-Out Seasoning	- Cashout: Not eligible if there has been a prior cashout transaction in the past 6 months - Cash out seasoning is defined as the time difference between application date of the new loan and the property acquisition date. - A minimum borrower seasoning requirement of six (6) months is required for a transaction to be eligible for cash out. - For properties owned 12 months or longer, the LTV/CLV is based upon the appraised value. - If the cash-out seasoning is less than 12 months but greater than 6 months, the transaction property value is limited to the lower of the current appraised value or the property's purchase price plus documented improvements. - The payoff of delinquent real estate taxes (60 days or more past due) is considered cash-out. - For refinance transactions – Payoff statement reflects late fees, deferred balance, or delinquent interest greater than 30 days are subject to housing history/or credit event criteria. Transaction is to be considered cash-out. - Properties listed for sale in the past six (6) months are not eligible. - Cash out seasoning of six (6) months or less is allowed with the following restrictions: - It must be documented that The borrower acquired The Property through an inheritance or was legally awarded the property through divorce, separation, or dissolution of a domestic partnership. - Non-Perm is not eligible for Cash-out.
Delayed Financing	- Delayed purchase financing is eligible when a property was purchased by a borrower for cash within 180 days of the loan application. - The original purchase transaction was an arms-length transaction. - The Source of funds for The purchase transaction are documented (such as bank statements, personal loan documents, or a HELOC on another property). - The maximum LTV/CLTV ratio for The transaction is based upon the lower of the current appraised value or the property's purchase price plus documented improvements. - The preliminary title search or report must confirm that there are no existing liens on the subject property. - The transaction is considered cash-out; cash-out pricing adjustors apply. - The new loan amount can be No more than The actual documented amount of the borrower's initial investment subject to the maximum LTV/CLTV for cash-out transactions.
Cash-back	Unlimited cash-back to borrower
Texas Cash Out	Must meet FNMA guideline
Listed Properties	- Rate/Term: Cannot be listed for sale on date of loan application. - Cash Out: Cannot be listed for sale in prior 6 months from date of loan disbursement.

General Requirements	
Appraisal	- AVM must be dated within 90 days of the Note date. - One full appraisal required for all loans $\leq$ \$2,000,000 - Two full appraisals required for all loans $>$ \$2,000,000. - Desk review or CDA(Clear Capital) or *AVM(Clear Capital-Max FSD 0.13) will be ordered and reviewed by ITRUST Underwriter on all loans. - Must be within -10% of the origination appraisal - (Desk review or CDA or AVM will not be required when Two full appraisals provided) - Transferred Appraisal: Allowed
Hazard/Flood Insurance	Must meet FNMA guideline
Condo/Attached PUD/Townhouse Master Insurance	- Master insurance policy must include the project name and project address for the location of the project. - Borrower name, unit number, and mortgage clause (loss payee) are NOT required to be included in master insurance policy.
Number of Financed Properties	- No max total existing combined loan balance of financed properties. - The maximum number of financed properties to any one Borrower/Guarantor is limited to twenty (20) residential properties. - Joint ownership in residential real estate is considered the same as total ownership and is subject to the same restriction.
Subordinate Financing	Not Allowed
Prepayment Penalty	- Investment Property Only. - Prepayment periods up to 5-Years eligible. - Penalties not allowed on loans vested to individuals in NJ. - Six months of interest - The prepayment charge will be equal to 6 months of interest on the amount of the prepayment that exceeds 20% of the original principal balance. The charge applies to loans that pay off due to sale or refinance, or curtailments that exceed 20% of the original principal balance in a given 12-month time period. (Not eligible under cross collateral, 5-8 unit, or 2-8 mixed use.) - 3%, 4%, or 5% fixed percentage - The prepayment charge will be equal to a fixed percentage and applied to any curtailment or the entire outstanding principal balance during the prepay period. The charge applies to loans that are paid off due to sale or refinance. - Declining structures that do not exceed 5% and do not drop below 3% in the first 3 years. For example: (5%/4%/3%/3%/3%) or (5%/4%/3%/2%/1%) - The prepayment charge will be equal to the percentage in effect and applied to any curtailment or the entire outstanding principal balance during the prepay period. The charge applies to loans that are paid off due to sale or refinance. - The prepayment penalty can be disclosed within the body of the Note or in a separate rider.
Payment Shock	Not Applicable
Escrow Waiver	Eligible for Non-HPML files
Closing In Trust	Must meet FNMA guideline
Tenants In Common	Tenants In Common Vesting: Not Allowed unless all parties vested match the actual borrowers of the loan
Power of Attorney	- Not allowed for Cash-Out & LLC, Corps, Entity Borrowers - Specific to the transaction - Must be recorded with Mortgage/Deed of Trust - An interested party to the transaction (such as seller, broker, loan officer, realtor, etc.) may not act as Power of Attorney
Accessory Unit	Must meet FNMA guideline

General Requirements	
Solar Panels	Must meet FNMA guideline
For Non-Subject Title Only Properties	- Only the mortgage payment may be omitted from the borrower's DTI if one of the following documents is provided. (HOI, property tax, and HOA dues (if applicable) need to be included in borrower's DTI when qualifying) - Mortgage note showing only the third-party responsibility or - Mortgage statement showing only the third-party's name or - 12 months verification of mortgage showing only the third-party's name.
Leaseholds	Must meet FNMA guideline
Flips	- A property is considered a "flip" if either of the following are true: - The price in the borrower's purchase agreement exceeds the property Seller's acquisition price by more than 10% if the property Seller acquired the property 90 or fewer days prior to the date of the borrower's purchase agreement. The price in the borrower's purchase agreement exceeds the property. Seller's acquisition price by more than 20% if the property Seller acquired the property 91-180 days prior to the date of the borrower's purchase agreement. - The acquisition date is the day the seller became the legal owner. The purchase date is the day the borrower and the seller sign the home purchase agreement. Start with the day after the acquisition date and count up to and including the purchase date. - If the property is a "flip" as defined above, the following additional requirements apply: - A second appraisal must be obtained. - If the loan is subject to Regulation Z, a copy of the second appraisal must be provided to the borrower in compliance with the federal HPML requirements. - The second appraisal must be dated prior to the loan consummation/note date. - The Property Seller on The purchase contract must be The owner of record. - Increases in value should be documented with commentary from the appraiser and recent comparable sales. - Sufficient documentation to validate the actual cost to construct or renovate (e.g., purchase contracts, plans and specifications, receipts, invoices, lien waivers, etc.) must be provided, if applicable.
Vesting For Business Purpose Loans (Investment Occupancy)	- A Business Purpose Loan where the borrower is an entity is limited to the following structures: Limited Liability Company (LLC), Partnership, and Corporation. The following requirements apply to all loans vested in an entity: - Purpose and activities are limited to ownership and management of real property. - Multi-level entity structures are allowed Subject to entity documentation requirements met for all entities. - Entity must be domiciled in A U.S. State. - Entity is limited to a maximum of four (4) member(s) or manager(s). - Personal guaranties must be provided by member(s)/manager(s) representing at least 50% ownership of the entity. The personal guaranty form is available upon request. - A guarantor must have authority to execute loan documents on behalf of the entity. - Each entity member providing A Personal Guaranty (full recourse) must complete a FNMA Form 1003 or similar credit application indicating clearly that such document is being provided in the capacity of guarantor. Only the debt appearing on the personal credit report of individual(s) providing a personal guaranty needs to be reflected on the FNMA Form 1003 loan application. The application of each member providing a personal guaranty and their credit score, and creditworthiness will also be used to determine qualification and pricing.

General Requirements	
Vesting For Business Purpose Loans (Investment Occupancy)	- No Lender or Broker shall suggest or encourage the formation of an Entity for the purpose of obtaining a mortgage loan. Such structures shall be initiated and arranged by the members of the Entity. - Guarantor(s) Documentation - Loan Application (e.g., FNMA Form 1003 or other application). - Completed for each member of the Entity providing a guaranty. - Section labelled "Title will be held in what Name(s)" should be completed with only the LLC name. - Signed by Individuals - Credit report from at least one (1) guarantor. - Loan documents. - Business purpose loan disclosures as applicable (e.g., GFE, TIL, LE, CD, ECOA) - Any state or federally required settlement statement as applicable. - Note, Deed of Trust/Mortgage, and all applicable Riders must be executed by the guarantor in their capacity as authorized signer for the entity. - Personal Guaranty - The guaranty must be full recourse. - The guaranty must reference the Note and loan amount. - Personal guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI) must be accompanied with a Spousal Consent to Pledge - Entity Documentation Requirements - Limited Liability Company (LLC) - Entity articles of organization or partnership (or equivalent) - Evidence of good standing - Good standing is always required for the state in which the entity was formed (e.g., Certificate, screen shot from state - Entity documents authorizing the guarantor to execute loan documents on behalf of the entity (e.g., Operating Agreement, Certificate of Authorization) - If not available, a Borrowing Certificate is required. - Borrowing Certificate (LLC Borrowing Certificate - Single Member or LLC Borrowing Certificate - Multiple Member) - Entity documents that include a list of members/managers and ownership percentage (e.g., organization structure) - EIN/Tax Identification Number - Single member LLC may use EIN or the guarantor social security number. - Multi-member LLCs require an EIN. - Corporation - Filed Certificate/Articles of Incorporation and all amendments (or equivalent) - By-Laws and all amendments - Evidence of good standing - Good standing is always required for the state in which the entity was formed (e.g., Certificate, screen shot from state website) - EIN/TAX Identification number - Borrowing Resolution/Corporate Resolution granting authority of signer to enter loan obligation. - Receipt of current year franchise tax payment, clear search, or evidence the state does not require a franchise tax payment.

General Requirements	
Vesting For Business Purpose Loans (Investment Occupancy)	- Partnership - Filed Partnership Certificate (if a general partnership, filing with the SOS may not be required) - Partnership Agreement and all amendments - Evidence of good standing - Good standing is always required for the state in which the entity was formed (e.g., Certificate, screen shot from state website) - EIN/TAX Identification number - Limited partner consents (where required by partnership agreement). - Documents must be completed and signed as follows: - Signed as an individual(s): - Loan Application (FNMA Form 1003) *Completed for each member of the Entity providing a guaranty. *Section labelled “Title will be held in what Name(s)” should be completed with only the Entity name *Signed by Individuals - Personal Guaranty *Completed for each member of the Entity providing a guarantee *The guaranty should be executed at loan closing and dated the same date as the Note *Personal Guaranties from community property states (AK, AZ, ID, LA, NM, TX, WA, WI) must be accompanied with a Spousal Consent to Pledge - Signed by the authorized signer for the entity: - Disclosures (e.g., GFE, TIL, LE, CD, ECOA) - Any state or federally required settlement statement as applicable. - Note, Deed of Trust/Mortgage, and all Riders.